

Michigan Environmental Assessments

The **National Environmental Policy Act** (NEPA) of 1970, requires federal agencies to evaluate the environmental effects of their proposed actions before making decisions.

In Michigan the **Michigan Environmental Protection Act** (MEPA), allows courts to prevent activities that harms the environment based on evidence given in litigation.

In the case of developers, this starts with an **environmental impact statement** , or **EIS** , that describes the action that may impact the environment. This written statement will be used to consider ways to minimize the negative environmental impact of the project. Then there will be a 30-day comment period and a public hearing. The final EIS will incorporate all findings of the **environmental site assessment** relating to the project.

Even **HUD** -the **Department of Housing and Urban Development** -has to conduct an EIS for every HUD-assisted project to ensure that it does not negatively impact the surrounding environment and that the site itself will not have adverse effect on end users.

CERCLA may also impact developers. CERCLA stands for the **Comprehensive Environmental Response, Compensation and Liability Act**. CERCLA identifies sites that have hazardous substances and requires the responsible party to clean them up. It used to be that even if new buyers didn't know that the site was contaminated when they purchased the property, they were held responsible for clean-up anyway. But when **SARA** -the **Superfund Amendments and Reauthorization Act** -passed, an "innocent land owner" defense amendment was made to CERCLA that says land owners aren't responsible if they didn't know about the contamination when the property was purchased. Of course, the owner must have acted responsibly when he did find out-no covering it up-and must have done **due diligence** in investigating the property when it was purchased. If all of that happened, then the land owner may not be held liable.

Due diligence usually requires a prospective land owner, or the current one who wants to sell, to hire a private consultant or engineer to conduct an assessment, which will consist of four phases. Exactly how it all plays out depends on who is ordering the assessment-the lender, the prospective purchaser, the seller, or a tenant, for instance. This is illustrated in the following chart.

Four Phases of Environmental Site Assessment

- **Phase I: Investigation:** Property is reviewed and examined; surrounding properties may also be evaluated.
- **Phase II: Testing:** This phase is prompted by the results of Phase I and is only conducted if necessary. If it is, the necessary testing will be conducted and the results shared. If the tests show nothing amiss, then the assessment ends. If a problem is found, then Phase III is put into action.
- **Phase III: Clean-up:** During this phase, governmental agencies may step into the process. Any necessary clean-up will be done.
- **Phase IV: Management:** During this phase, the project is monitored by the appropriate parties and any on-going or potential issues are addressed.